THE BIOTECH & LIFE SCIENCES STRUCTURING CASE STUDY

A GCC biotech and life sciences group, re-engineered into a two-track platform that ring-fences every asset and lets investors back one deal at a time.

WHAT THE MARKET SEES

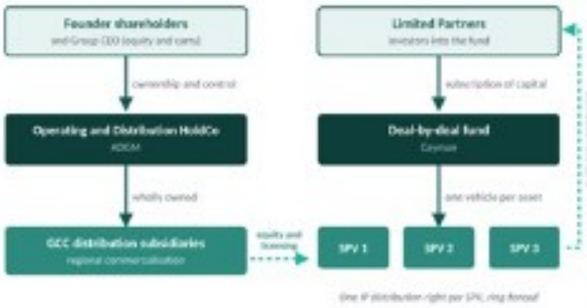
A group holding a portfolio of life science and biotechnology assets, ready to raise capital. From the outside, the hard part looks like agreeing the valuation.

WHAT HAD TO BE BUILT UNDERNEATH

Two separate entities, an asset-by-asset fund, and a cash circuit that lets investors back a single asset without diluting the founders or mixing the risk.

8	2	1	20 %
PORTFOLIO ASSETS ILLUSTRATIVE	REGULATED JURISDICTIONS	SPV PER IP RIGHT	CARRIED INTEREST TO THE GP

THE GROUP STRUCTURE



Cash from each product flows up as royalty and licensing to the owning SPV, then out to limited partners through the fund waterfall.

— Ownership, equity and capital

– – Royalty and distribution cash flows

HOW THE CIRCUIT WORKS

1. Investors fund a single asset through its own ring-fenced SPV.
2. The operating company distributes the product and pays royalty and licensing up to that SPV.
3. The SPV returns capital, preferred return and carry to investors through the fund waterfall.

THE ARCHITECTURE

1. **Two-track holding and fund platform**
   Operations and investments were split out of one commingled company into two purpose-built entities, giving investors clearly defined rights.
2. **Operating and distribution HoldCo (ADGM)**
   Holds the regional distribution subsidiaries, commercialises the IP across GCC markets, and earns operating margin plus royalty income.
3. **Deal-by-deal fund (Cayman)**
   Raises limited-partner capital one transaction at a time, so the core operating equity is never diluted to fund an asset.
4. **One SPV per IP right**
   Each distribution right sits in its own ring-fenced vehicle, so weakness in one asset cannot reach the others.
5. **Royalty and licensing circuit**
   The operating company pays the owning SPV to distribute each product, moving cash from operations to investors on defined terms.
6. **Governance and incentive layer**
   Ownership formalised on an equal basis, with the group CEO on equity and an agreed carry on exit.

THE RETURNS WATERFALL

1. **Operating costs, taxes and working capital**
2. **Return of limited-partner capital**
3. **Preferred return to limited partners**
4. **Carried interest to the GP, 20 percent**
5. **Operating dividends to the founders**

Cash follows a defined order. Investors are repaid and receive their preferred return before the general partner earns carry.

THE VALUE ADDED

RISK ISOLATION

Weakness in any one asset cannot contaminate the others or the core distribution business.

CAPITAL EFFICIENCY

Investor money funds the IP, so founder equity stays free to scale distribution.

DUAL ECONOMICS

Founders keep operating dividends and also share in fund carried interest.

INVESTOR CLARITY

Single-asset, ring-fenced exposure with a defined waterfall shortens diligence.

GOVERNANCE

Equal ownership and a CEO equity-and-carry arrangement, built to an institutional standard.

TRANSITION PATH

A built-in route to migrate assets into the fund once capitalised, avoiding a second restructuring.

Portfolio count and aggregate value shown are illustrative, built on assumed round sizes, and are indicative rather than closed rounds.

THE RESULT

YD Advisory turned a commingled operating company into two clean, fundable entities, isolating the risk, matching capital to the right vehicle, and giving investors a structure they can underwrite. That is the part of a raise that never shows up in the headline valuation.

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